

**Better
Together**

Gulf & Fraser
Interior Savings



Withdrawal of Service Guidelines

November 27, 2024

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Table of Contents

Document Tracking and Control Table..... i

1 Purpose..... 3

2 Reasons for Withdrawing Services..... 3

3 Recommendation for Withdrawal of Service 3

3.1 Branch Recommendation 3

3.2 Compliance Recommendation 4

3.2.1 Membership with Wealth Services 4

3.2.2 Membership with Lending 4

4 Withdrawal of Services..... 5

4.1 Restriction of Account Services..... 5

4.2 Account Closure 5

4.2.1 Personal memberships..... 5

4.2.2 Business memberships 6

4.3 Membership Closures..... 6

5 Record Keeping 6

5.1 Withdrawal of Services Records 6

5.1.1 AML Compliance Team..... 6

1 Purpose

This document provides guidance on when and how the Credit Union can withdraw services from a member identified to have exceeded the Credit Union's risk tolerance.

2 Reasons for Withdrawing Services

The Credit Union may look to withdraw services for the following reasons:

- The Credit Union has reasonable grounds to believe a member is conducting money laundering or terrorist financing activities.
- Negative media is identified from a legitimate source confirming that the member has been prosecuted for criminal activity.
- Member is determined to be, or have a relationship with, a prohibited and/or restricted person or entity (see High Risk, Prohibited and Restricted Memberships Guidelines).
- Member conducts abusive or threatening behavior towards staff.
- Member refuses to provide FATCA or CRS Tax Declaration.

Other reasons to withdraw services may be considered with approval from the AML Compliance Department.

3 Recommendation for Withdrawal of Service

When a membership has been identified to fall outside of risk tolerance, the Credit Union may make a recommendation to withdraw services.

3.1 Branch Recommendation

When the branch identifies a membership that they believe exceeds the Credit Union's risk tolerance, the Branch Manager must document all details pertaining to the determination and recommendation and escalate via email to the [AML Compliance Team](#).

Once received by the AML Compliance Team, a review will be conducted to determine whether the recommendation is appropriate.

If the recommendation is determined to be appropriate, and both the AML Compliance Team and the Branch Manager are in agreement, the [process to withdraw](#) services for the member will commence.

If the Branch Manager and the AML Compliance Team do not agree to the recommendation the AVP/Regional Manager will be consulted to assist in a determination.

3.2 Compliance Recommendation

The AML Compliance Department may identify a membership that exceeds the Credit Union's risk tolerance during regular ongoing monitoring, investigation of Unusual Activity Reports, or other triggering events.

When a membership has been identified to exceed risk tolerance, and the AML Compliance Team's recommendation is to withdraw services, details pertaining to the recommendation are to be documented and emailed to the appropriate Branch Manager where the member's relationship is held.

The Branch Manager must support the determination to proceed with withdrawal of services. If the Branch Manager and the AML Compliance Team do not agree to the recommendation the AVP/Regional Manager will be consulted to assist in a determination.

If the recommendation is determined to be appropriate, the [process to withdraw](#) services for the member will commence.

3.2.1 Membership with Wealth Services

If the Credit Union determines that a membership that they will be withdrawing services for, holds Wealth Service products, the AML Compliance Team will send a notification to inform Wealth Services of the determination.

The Credit Union may be able to determine whether wealth products are held by reviewing the CRM or Salesforce profile for the member.

3.2.2 Membership with Lending

When a recommendation to withdraw services from a member with lending is made, and the lending product also falls outside risk tolerance, the Compliance Department will engage with the appropriate manager within the Credit Department.

The AML Compliance Department will provide details surrounding the membership and reasons for the withdrawal of services to the Credit Department and provide recommendations on what steps to take with the lending facility.

Recommendations for lending may include:

- Restricting renewals for lending products
- Calling loans or Lines of Credit
- Requesting a full review of members' income at next renewal
- Other recommendations may be made depending on the reasons for withdrawing services.

4 Withdrawal of Services

When a recommendation to withdraw services has been approved, the determination on what services are to be withdrawn and the timeframe for doing so, must also be made. Services may be withdrawn immediately or after further conversation with the member, ensuring that sufficient time is provided for the member to move services without impeding their ability to do banking.

The procedures to withdraw services can be reviewed by accessing the Withdrawal of Services Process on either [Genie](#) or the [Source](#).

4.1 Restriction of Account Services

If the Credit Union has determined that certain services will be restricted, the member must be notified of the service restrictions being placed on their accounts.

Services that may be restricted can include:

- Online banking (MemberDirect)
- E-transfers
- Incoming and/or Outgoing Wire Transfers
- MemberCard
- ATM Transactions
- Chequing Account/New Demand Accounts
- Holds on deposits, including in branch, ATM and remote deposit services
- Lending services

4.2 Account Closure

If the Credit Union has determined that they will close a member's account, the member must be provided a reasonable amount of time to move their financial accounts to another institution. At minimum 1 day's notice must be provided to all memberships before an account will be closed. However, the amount of time provided will be determined by the risk exposure to the credit union.

The following timeframes are recommended based on the activity identified but can be adjusted by the AML Compliance Team dependent on the risk exposure.

4.2.1 Personal memberships

Beem Credit Union will provide 30 days for a personal member to move their financial accounts, unless there are extenuating circumstances such as a member being abusive towards staff.

4.2.2 Business memberships

To ensure that the Credit Union is not impeding an entity's ability to conduct their business, sufficient time will be provided for the accounts to be moved.

Should it be identified during review of the account activity that the business holds an account at another financial institution, 30 days may be provided. If it cannot be determined whether an account is held elsewhere, 60-90 days may be provided.

If a business returns to the Credit Union and requests an extension on an account closure, an extension of 30 days may be provided dependant on the reasoning for the extension by the member.

4.3 Membership Closures

Memberships cannot be closed by the Credit Union without approval from the Board of Directors. All demand accounts, lending facilities and investment accounts can be closed. However, a member's Shares account must remain open and active unless the member requests to close them on their own accord.

To discuss specific situations why the Credit Union would close a membership contact the AML Compliance Team.

5 Record Keeping

The Credit Union will retain all records pertaining to the withdrawal of services.

5.1 Withdrawal of Services Records

Any records pertaining to withdrawal of services, including account closure and restriction of services letters, must be stored in the member file and the Customer Relationship Management tool.

5.1.1 AML Compliance Team

Any AML and Compliance details surrounding the withdrawal of services, including whether an STR was filed, will be recorded in the Credit Union's AML tracking and monitoring system.